

AUDIT INVESTIGATION REPORT

Investigation No. INV-00434 | Type: Fraud Investigation

Investigation ID:	INV-00434
Investigation Type:	Fraud Investigation
Status:	COMPLETED
Trigger Source:	Routine audit sampling
Lead Investigator:	James Campbell (EMP-21704)
Subject Employee:	Claudia Gibson (EMP-RM768)
Related Vendor:	EdgeWave Technologies International (VND-04068)
Related Transaction:	TXN-C647226268
Scope Period:	2020-10-29 to 2022-01-29
Created Date:	2024-08-17
Completed Date:	2025-02-13
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Identify contracts with unusually high values relative to vendor risk tier."

2. BACKGROUND

This investigation was initiated following a routine audit sampling relating to activity associated with employee Claudia Gibson (EMP-RM768) and vendor EdgeWave Technologies International (VND-04068). The investigation scope covers the period 2020-10-29 to 2022-01-29 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C647226268 (amount 107,206.15 AUD, risk score 0.87). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-002274	CRITICAL	APPROVAL LIMIT	Payment of \$291,140 approved at Level 2, which has a limit of \$500,000. Transaction exceeded limit by \$39,507.
FND-004166	MEDIUM	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 59% below the required threshold.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a critical risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Vendor contract flagged for non-renewal upon expiry.
- Matter referred to Legal & Compliance for further action.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	James Campbell	EMP-21704	2025-02-13